

Estimating Extreme Daily Market Losses on the Johannesburg Stock Exchange using Extreme Value Theory

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Abstract

This study applies Extreme Value Theory (EVT) to estimate extreme one-day losses on the Johannesburg Stock Exchange (JSE). We compare Block Maxima (GEV) and Peaks-Over-Threshold (GPD) approaches against empirical and Gaussian models, assessing 99% and 99.5% Value at Risk (VaR).

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